

All of these publicly available products apply relative strength momentum to individual stocks. They therefore miss the potential risk-reducing benefits of cross-asset diversification. Using momentum with individual stocks also results in substantially higher transaction costs than applying momentum to broad asset classes and indexes. AQR, for example, estimates transaction costs of its U.S. momentum index to be 70 basis points per year.

Also important is the fact that while relative strength momentum can enhance returns, it does little to reduce volatility or maximum drawdown. These risks may even increase compared to similar portfolios using nonmomentum, buy-and-hold strategies.

In [Chapter 7](#), we will discuss absolute momentum, which can enhance expected returns like relative momentum does. However, unlike relative momentum, absolute momentum can also reduce extreme downside exposure that is associated with long-only investing. Absolute momentum aims to beat the market by avoiding the beatings. In [Chapter 8](#), we will construct a simple and practical investment model using dual momentum, which is the amalgamation of both relative and absolute momentum.